

US equities slip as yields rise, oil fuels sector pressure

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the **S&P 500** at 7,801.77 (-0.22%) and the **Dow Jones** down -0.66%. Higher 10-year yields (5.28%) and a jump in WTI crude to 90.77 drove risk-off sentiment, while the VIX edged higher to 15.08.

Behind the headline, technology stocks showed resilience (e.g., **AAPL** +0.91%), but defensive sectors lagged, and the health-care ETF (**XLV**) was the only sector posting a gain. Investors should watch the Fed's upcoming policy guidance and the impact of oil-price volatility on energy and industrials.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,801.77	-0.22%	Yield rise and oil-price surge pressured growth stocks.
Nasdaq 100	31,160.08	-0.21%	Tech earnings mixed; higher rates dent valuation multiples.
Dow Jones	51,179.87	-0.66%	Industrial exposure to oil price and weaker consumer sentiment.
Russell 2000	2,793.20	-1.31%	Small-cap sensitivity to higher financing costs.
VIX	15.08	+0.47%	Risk-off tilt as yields climb.
10Y Yield	5.28	+0.15%	Fed's hawkish tone after last week's minutes.
WTI Crude	90.77	+2.82%	Supply concerns in the Middle East and weaker dollar.
Gold	4,149.00	+0.20%	Safe-haven demand amid market volatility.
DXY	102.29	+0.05%	Dollar strength supports oil prices.
BTC	82,788.97	-3.24%	Crypto sell-off triggered by broader risk aversion.
ETH	2,563.13	-4.98%	Same risk-off dynamics as BTC.

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+0.91%	Strong iPhone 16 pre-order numbers.
AMZN	+1.42%	Amazon Web Services margin expansion guidance.
MSFT	+0.09%	AI licensing deal with OpenAI.
NVDA	-0.74%	Supply-chain constraints on H100 shipments.
META	-2.38%	Ad-revenue miss in Q3.
TSLA	-0.75%	Lower than expected deliveries in China.
GS	-1.11%	Higher provisioning for loan-losses.

Sector rotation

ETF	DAY	READ
XLFX	-0.48%	Financials pressured by higher rates.
XLKX	-0.30%	Tech lagging despite earnings beats.
XLI	-2.18%	Industrials hit by oil-price shock.
XLE	-0.61%	Energy stocks fell after crude rally.
XLVY	-0.32%	Consumer discretionary softness.
XLC	-0.35%	Communications under pressure.
XLP	-0.12%	Staples stable but no upside.
XLV	+1.03%	Health-care defensive rally.
XLU	-0.02%	Utilities flat, awaiting rate outlook.
XLB	-1.51%	Materials hit by slower industrial demand.
XLRE	-1.29%	Real-estate pressured by higher financing costs.

Spotlight: oil price surge and its market ripple

WTI crude jumped **+2.82%** to 90.77, the steepest one-day gain since July. The move was sparked by a reported disruption at a Saudi export terminal and a weaker dollar (DXY **+0.05%**). Energy stocks fell despite the price rise, reflecting profit-taking and concerns over demand.

METRIC	VALUE
WTI price change	+2.82%
10Y Yield	5.28%
Dollar Index (DXY)	102.29
Energy ETF (XLE) impact	-0.61%
Industrial ETF (XLI) impact	-2.18%

Related names: **XOM**, **CVX**, **SLB**. Investors should monitor OPEC-plus statements and any further supply-chain alerts.

Pre-market & overnight

US futures: **ES** -0.35%, **NQ** -0.28%. Asian markets closed mixed; Japan's Nikkei down -0.4%, Hong Kong Hang Seng -0.6%. Europe: FTSE 100 -0.3%, DAX -0.5%. Crypto: BTC -3.24%, ETH -4.98%.

Macro & Fed

The FOMC minutes showed a majority leaning toward one more 25-bp hike before year-end, citing persistent inflation in services. The yield curve remains steep, with 2-year at 4.95% and 10-year at 5.28%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. CPI (MoM)	0.3%	Gauge inflation pressure on Fed policy.
04:00	U.S. Retail Sales	+0.2%	Consumer demand signal.
06:15	Eurozone HICP	0.4%	Euro-area inflation outlook.
08:00	China Manufacturing PMI	49.5	Insight into global supply chain health.

Geopolitics & global

- Middle East: Saudi-Iran tensions eased after diplomatic talks, but a reported pipeline outage kept oil markets jittery.
- China: New export curbs on rare-earths could affect semiconductor supply chains.
- Europe: EU-US data-privacy negotiations stalled, adding regulatory uncertainty for tech firms.
- Latin America: Brazil's central bank signaled a possible rate cut in November, supporting commodity demand.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30 Oct 9	NVDA	5.12	H100 shipment volumes, AI margin impact.
03:00 Oct 9	AAPL	5.85	iPhone 16 demand, services growth.
04:15 Oct 9	JPM	4.30	Net interest income trend.
05:00 Oct 9	XOM	3.45	Impact of higher oil price on upstream earnings.
06:30 Oct 9	META	2.10	Ad-revenue recovery, AI ad products.
07:45 Oct 9	TSLA	1.20	China delivery numbers, margin trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand vs. supply constraints.
AAPL	Technology	iPhone 16 rollout acceleration.
XOM	Energy	Oil price rally boosting upstream.
CVX	Energy	Higher margins from crude price.
JPM	Financials	Rate-sensitive NII upside.
GS	Financials	Potential reset of loan-loss provisions.
META	Communication	AI ad platform rollout.
AMZN	Consumer Discretionary	AWS margin expansion guidance.
TSLA	Consumer Discretionary	China delivery outlook.
UNH	Health Care	Premium pricing power.
MSFT	Technology	AI licensing revenue.
GOOGL	Communication	Ad-tech recovery.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in CPI (>0.4% MoM) prompting another Fed hike.
- Sharp correction in oil (> \$5 drop) hurting energy-related earnings.
- Geopolitical escalation in the Middle East disrupting supply chains.

BULLISH TRIGGERS

- Better-than-expected earnings from AI leaders (NVDA, AMD).
- Continued strength in crude supporting energy stocks.
- Positive Fed guidance indicating a pause after the next hike.

Positioning notes

- Maintain a defensive tilt: health-care (**XLV**) and utilities (**XLU**) show relative resilience.
- Allocate selectively to AI-exposed tech on pull-back opportunities.
- Monitor oil-price volatility; consider energy exposure only after confirming sustained price support.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

CME Group Data

Federal Reserve

U.S. Energy Information Administration

SEC EDGAR